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TENTATIVE RULING

August 6, 2026 [continued from July 24, 2026]

26SMCV00992 (Wang v. Yadidsion, et. al.)

RELEVANT BACKGROUND

This is an unlawful detainer action. On February 23, 2026, plaintiff Dingwen Wang (Plaintiff) filed the complaint against defendants David Yadidsion (Yadidsion) and Simin Shahrooz (Shahrooz) (collectively, Defendants). Plaintiff seeks possession of the residence at 130 N. Stanley Drive, Beverly Hills, California (the Rental Unit) on the basis that Defendants failed to pay rent. Plaintiff is the owner and legal title holder of the Rental Unit. (Yadidsion Decl.; Shahrooz Decl. ¶¶ 3).

On January 2, 2025, Plaintiff, by and through his authorized agent, Mr. Wenbin Xiang ("Mr. Xiang") of Realty One Group Success, offered the Rental Unit for rent on the Compass residential rental platform at an advertised monthly rental price of $15,000.00 per month. (Yadidsion Decl.; Shahrooz Decl. ¶ 4, Ex. B; Shamtob Decl. ¶ 6, Ex. C-D [Plaintiff’s responses to Requests for Admissions].)

On January 3, 2025, Plaintiff’s agent, Mr. Xiang, listed the Rental Unit for rent on both the Berkshire Hathaway HomeServices and Redfin residential rental platforms at an advertised monthly rental price of $15,000.00 per month. (Yadidsion Decl.; Shahrooz Decl. ¶¶ 3-4, Ex. A, C; Shamtob Decl. ¶ 6, Ex. C-D [Plaintiff's responses to Requests for Admissions].)

On January 5, 2025,
Defendants discovered the Rental Unit listed on Redfin, Compass, and Berkshire Hathaway HomeServices at an advertised monthly rental price of $15,000.00. Seeking suitable rental housing for their family, Defendants decided that they would contact Plaintiff's agent to inquire further about the Rental Unit. (Yadidsion Decl.; Shahrooz Decl. ¶¶ 3–4, Exs. A–C.)

On January 7, 2025, more
than 50,000 acres of Los Angeles County burned from the Palisades and Eaton wildfires (collectively hereafter referred to as "January 2025 Wildfires"). On January 12, 2025, Executive Order No. N-4-255 was issued, which, among other things, extended the prohibition on price gouging in housing pursuant to California Penal Code § 396(b) through January 7, 2026. (Defs.' RJN, Ex. C.) On February 4, 2025, Executive Order No. N-17-256 was issued, which expanded the operative definition of "housing" under California Penal Code § 396(j)(10) to include all rental properties regardless of initial lease term. (Defs.' RJN, Ex. D.).

On January 10, 2025,
Defendants contacted Mr. Xiang via text message regarding the Rental Unit. (Yadidsion Decl. ¶ 6, Ex. D; Shahrooz Decl. ¶ 5.) Defendants informed Mr. Xiang that they were seeking a rental property for their family and wished to submit an application for the Rental Unit. (Id. at ¶ 6, Ex. D; Id. at Decl. ¶ 5).
During the course of these communications, Defendants also inquired as to whether the advertised monthly rental price of $15,000.00 was subject to negotiation. (Id.). In response, Mr. Xiang requested that Defendants submit a rental application along with supporting documentation, and indicated that he had numerous applications to review. (Id.).

On January 12, 2025, Plaintiff,
through his authorized agent, Mr. Xiang, offered the Rental Unit to Defendants on January 12, 2025 at a monthly rental price of $18,500.00, a 23% increase over the pre-emergency advertised price of $15,000.00. (Yadidsion Decl. ¶¶ 6-7, Ex. D; Shahrooz Decl. ¶ 6). The offer required: (1) a security deposit in the amount of $18,500.00, equivalent to one month's rent, due on or before January 14, 2025; and (2) an advance rent payment of $118,161.29, covering the period

from January 20, 2025 through July 31, 2025, due on or before January 20, 2025. (Id. at ¶ 5, Ex. A.) Defendants accepted Plaintiff's offer. (Yadidsion Decl. ¶¶ 6-7, Ex. D; Shahrooz Decl. ¶ 6).

On January 13, 2025, Defendants entered into a fixed, one (1) year term written Lease Agreement with Plaintiff for the Rental Unit at the increased and unlawful monthly rent of $18,500.00. (Yadidsion Decl. ¶ 9, Ex. E; Shahrooz Decl. ¶ 8, Ex. D.)

On February 9, 2026, Plaintiff served a Three-Day Notice to Pay Rent or Quit (hereinafter the Three-Day Notice), demanding the sum of $92,500.00 in alleged back rent for the period commencing October 1, 2025 through February 28, 2026. (Yadidsion Decl. ¶ 16; Shahrooz Decl. ¶ 15).

INSTANT MOTION

On July 2, 2026, Defendants filed the instant motion for summary judgment. Plaintiff filed an opposition, and Defendants filed a reply.

On July 24, 2026, the Court ordered the parties to file supplemental briefing regarding Penal Code section 396, subdivision (j)(11)(B).

REQUESTS FOR JUDICIAL NOTICE

Defendants’ request for judicial notice of various executive orders regarding the 2025 Palisades and Eaton fires (Ex. A-C) and the County of Los Angeles Board of Supervisors' Motion ratifying (Ex. D) and extending (Ex. E) the Proclamation of Local Emergency are granted. (Evid. Code, § 452, subd. (b).)

Defendant’s request for judicial notice of HUD figures (Ex. F) is granted.

DISCUSSION

I.

UNLAWFUL DETAINER – MOTION FOR SUMMARY JUDGMENT

As in general civil cases, either party to a UD action may file a motion for summary judgment when the complaint or answer as a whole has no merit as a matter of law (Code Civ. Proc., § 437c, subd. (a)(1)); or a motion for summary adjudication of a cause (or causes) of action, one or more affirmative defenses, one or more claims for damages, or one or more issues of duty on the ground they have no merit as a matter of law (Id., § 437c(f); Id., § 1170.7 [making section 437c generally applicable to UD].) A defendant moving for summary judgment must show either (1) that one or more elements of the cause of action cannot be established; or (2) that there is a complete defense to that cause of action. (See Code Civ. Proc. § 437c(p).) A defendant may discharge this burden by furnishing either (1) affirmative evidence of the required facts or (2) discovery responses conceding that the plaintiff lacks evidence to establish an essential element of the plaintiff's case. (Id.)

Overstatement of Rent

A three-day notice to pay rent or quit must state no more than the amount of rent due; and it must be served after the stated amount becomes due. (Code Civ. Proc., § 1161(2).) “The amount of rent must be stated accurately. ‘A notice that seeks rent in excess of the amount due is invalid and will not support an unlawful detainer action. [Citation.]’” (North 7th Street Associates v. Constante (2016) 7 Cal.App.5th Supp. 1 (citations omitted).)

Penal Code § 396

California's anti-price-gouging law makes it unlawful to charge an existing or prospective tenant a rental price more than 10 percent above the pre-emergency price, for 30 days following an emergency declaration and for any period the declaration is extended. (Pen. Code §§ 396(b), (e), (f).) Section 396, subdivision (e) provides:

Upon the proclamation of a state of emergency declared by…the Governor…for a period of 30 days following that proclamation or declaration, or any period the proclamation or declaration is extended by the applicable authority, it is unlawful for any person, business, or other entity, to increase the rental price, as defined in paragraph (11) of subdivision (j), advertised, offered, or charged for housing, to an existing or prospective tenant, by more than 10 percent. However, a greater rental price increase is not unlawful if that person can prove that the increase is directly attributable to additional costs for repairs or additions beyond normal maintenance that were amortized over the rental term that caused the rent to be increased greater than 10 percent or that an increase was contractually agreed to by the tenant prior to the proclamation or declaration. It shall not be a defense to a prosecution under this subdivision that an increase in rental price was based on the length of the rental term, the inclusion of additional goods or services, except as provided in paragraph (11) of subdivision (j) with respect to furniture, or that the rent was offered by, or paid by, an insurance company, or other third party, on behalf of a tenant. This subdivision does not authorize a landlord to charge a price greater than the amount authorized by a local rent control ordinance.

(Id., subd. (e) (emphasis added).)

Further,
subdivision (j) defines “rental price” as any of the following:

(A) For housing rented within one year prior to
the time of the proclamation or declaration of emergency, the actual rental price paid by the tenant. For housing not rented at the time of the declaration or proclamation, but rented, or offered for rent, within one year prior to the proclamation or declaration of emergency, the most recent rental price offered before the proclamation or declaration of emergency. For housing rented at the time of the proclamation or declaration of emergency but which becomes vacant while the proclamation or declaration of emergency remains in effect and which is subject to any ordinance, rule, regulation, or initiative measure adopted by any local governmental entity that establishes a maximum amount that a landlord may charge a tenant for rent, the actual rental price paid by the previous tenant or the amount specified in subparagraph (B), whichever is greater. This amount may be increased by 5 percent if the housing was previously rented or offered for rent unfurnished, and it is now being offered for rent fully furnished. This amount shall not be adjusted for any other good or service, including, but not limited to, gardening or utilities

currently or formerly provided in connection with the lease.

(B) For housing not rented and not offered for rent within one year prior to the proclamation or declaration of emergency, 160 percent of the fair market rent established by the United States Department of Housing and Urban Development. This amount may be increased by 5 percent if the housing is offered for rent fully furnished. This amount shall not be adjusted for any other good or service, including, but not limited to, gardening or utilities currently or formerly provided in connection with the lease.

…

(Id., subd. (j), (A)-(B) (emphasis added).)

Here, Defendants argue that summary judgment is appropriate because Defendants have satisfied their initial burden under Code of Civil Procedure § 437c(p)(2) by establishing that Plaintiff's Three-Day Notice to Pay or Quit is void and unenforceable in that it is based on an ineffective and illegal monthly rent and is otherwise overstated. Defendants state that either deficiency alone is fatal to Plaintiff's claim and, together, they conclusively establish that Plaintiff cannot prove one or more essential elements of its prima facie case for unlawful detainer, entitling Defendants to summary judgment as a matter of law, pursuant to Code of Civil Procedure section 437c(c).

Defendants contend that the January 2025 wildfire emergency capped the lawful rent for the Rental Unit at $16,500 per month, and Plaintiff charged $18,500 in violation of Penal Code § 396. (Yadidsion Decl. ¶ 6, Ex. D; Shahrooz Decl. ¶ 6.) Further, Defendants argue that the three-day-notice to pay-or-quit cannot support an unlawful detainer claim because a notice that overstates the rent due is ineffective and fatal to the landlord's claim of possession, citing Bevill v. Zoura (1994) 27 Cal.App.4th 694, 697; Levitz Furniture Co. of the Pacific, Inc. v. Wingtip Communications, Inc. (2001) 86 Cal.App.4th 1035, 1038, 1040; Nourafchan v. Miner (1985) 169 Cal.App.3d 746, 753; and North 7th Street, 7 Cal.App.5th Supp. 1, 5 [holding that, because unpermitted premises were unlawful, the rental agreement was void, and the landlord was barred from collecting any rent or using the unlawful detainer procedures to enforce its collection].

Defendants highlight that Plaintiff's verified admissions establish that on January 2 and 3, 2025, prior to and shortly following the emergency declarations, Plaintiff listed and advertised the subject Rental Unit at $15,000.00 per month across multiple online rental platforms, including Compass, Berkshire Hathaway HomeServices, and Redfin. (Shamtob Decl. ¶¶ 7-8, Exs. C, D.) Plaintiff's admissions further establish that, following the January 7, 2025, emergency declarations, Plaintiff rented the subject Rental Unit to Defendants at a monthly rental rate of $18,500.00, representing a 23.3% increase above the pre-emergency baseline of $15,000.00, in direct violation of Penal Code section 396. Defendants contend that this increase exceeds the statutory maximum of 10% by more than double and surpasses even the 15% cap applicable to fully furnished rentals under Penal Code section 396(e), citing Western Manufactured Housing Communities Assn. v. City of Santa Rosa (2026) 119 Cal.App.5th 1275 [case involving a mobile home mark and a wildfire state of emergency where the court addressed Penal Code section 396].

In opposition, Plaintiff disputes that the $15,000 figure appearing in pre-emergency online listings conclusively establishes the “most recent rental price offered” under Penal Code section 396 and highlights that section 396 distinguishes among prices that are "advertised," "offered," and "charged," while the applicable baseline provision refers specifically to the price "offered." Plaintiff argues that a triable issue exists as to whether the $15,000 listing constituted the operative pre-emergency “rental price offered,” citing the Xiang declaration, which states that the $15,000 figure was selected before the emergency as an initial marketing strategy intended to generate interest and applications, with the final rental amount to be determined through market response and lease negotiations. (See Xiang Decl.)

Additionally, Plaintiff distinguishes North 7th Street, 7 Cal.App.5th Supp. 1 on the basis that, in that case, the landlord expressly conceded that the premises were unpermitted, unauthorized for residential occupancy, lacked a certificate of occupancy, and therefore could not lawfully generate any rent. Plaintiffs also note that, here, Defendants do not contend that the residence itself was unlawful or that Plaintiff was prohibited from charging any rent for Defendants' occupancy.

In reply, Defendants fail to adequately support their interpretation of “the most recent rental price offered” as defined in section 396. Defendants contend that, if an advertisement could never fix the baseline, the word "advertised" in subdivision (e) would be pure surplusage. But Defendants fail to address the core of Plaintiff’s argument, which is that the online listing advertising the Rental Unit does not constitute the most recent rental price “offered.” The Court is not persuaded by Defendant’s arguments regarding Western, as that case involved a mobile home park and the court addressed section (j)(11)(D), which applies specifically to mobile home park subject to a local rent control ordinance already rented: “For mobilehome spaces subject to a local rent control ordinance and already rented at the time of the declaration, the statute defines ‘rental price’ as ‘the amount authorized under the local rent control ordinance.’” (Western, 119 Cal.App.5th at p. 1279, citing Penal Code § 396, subd. (j)(11)(D).) Western does not address the subdivisions at issue here, (j)(11)(A) & (B).

Penal Code § 396, subdivision (j)(11)(A)

The Court is not persuaded with respect to Defendants’ arguments under Penal Code section 396, subdivision (j)(11)(A). Defendants provide no evidence to show the most recent rental price “offered” for the Rental Unit within the last year. Defendants provide only online listings advertising the Rental Unit and Plaintiff’s admissions regarding those online listings rather than any“offer” of a price, which is a distinction made by Penal Code section 396(e).

Moreover, even if Defendants had met their burden, the Xiang declaration provided by Plaintiffs raises a triable issue of material fact as to whether the $15,000 online listing constituted the operative pre-emergency “rental price offered” within the meaning of Penal Code section 396. The trier of fact could reasonably infer from such evidence that the $15,000 figure was not the most recent price “offered,” but an advertisement intended to generate interest and applications, with the final rental amount to be determined through market response and lease negotiations.

Penal Code § 396, subdivision (j)(11)(B) – Supplemental Briefing

But the Court is persuaded with respect to Defendants’ arguments under Penal Code section 396, subdivision (j)(11)(B).

Penal Code section 396, subdivision (j)(11)(B) provides that “rental price” for housing means:

> For housing not rented and not offered for rent within one year prior to the proclamation or declaration of emergency, 160 percent of the fair market rent established by the United States Department of Housing and Urban Development. This amount may be increased by 5 percent if the housing is offered for rent fully furnished. This amount shall not be adjusted for any other good or service, including, but not limited to, gardening or utilities currently or formerly provided in connection with the lease.

(Pen. Code, § 396, subd. (j)(11)(B).)

The Court agrees with Defendants that no triable issue of material fact remains because, under every reading of this provision, the Three-Day Notice demanded more than the law allowed.

Plaintiff asserts in the Xiang declaration, in his opposition, and again in his supplemental brief, that the pre-emergency advertisements were not “offers” but a mere marketing strategy. A property for which no rental price was ever offered is, by definition, a property “not offered for rent.” That is the express trigger for subdivision (j)(11)(B), under which the baseline is 160 percent of the HUD fair market rent, $8,160 for the four-bedroom Premises in ZIP Code 90211, and the lawful ceiling is $8,976. Plaintiff charged $18,500, more than double the cap.

Additionally, as Defendants point out in their supplemental brief, if a property could be “offered for rent,” and thus excluded from (B), while having no “rental price offered,” and thus no baseline under (A), then a home publicly listed for rent would fall into neither category and would be subject to no price-gouging cap at all.

Moreover, the Court agrees with Defendants that, independent of the baseline, Penal Code section 396 subdivision (e) establishes the violation on the face of Plaintiff's admissions, which makes it unlawful to increase the rental price "advertised, offered, or charged for housing" by more than 10 percent. (Pen. Code, § 396, subd. (e).) Plaintiff has admitted, in verified discovery, that the Premises were advertised for rent at $15,000 immediately before the emergency. (Shamtob Decl., Exs. C-D [RFA Nos. 23, 29, 43].) Ten percent above $15,000 is $16,500, and Plaintiff charged $18,500.

The Court is not persuaded by Plaintiff's arguments in his supplemental brief. Although Plaintiff contends that the premises contain five bedrooms, HUD's own practice of adding 15 percent per additional bedroom yields a ceiling of $10,322.40, still a fraction of what Plaintiff charged. If, contrary to Plaintiff's own position, the advertisements were offers, then the only rental price in the pre-emergency record is $15,000, and subdivision (j)(11)(A) caps the rent at $16,500, again below $18,500. And Costa-Hawkins, which Plaintiff concedes "may operate as a temporary statewide emergency limitation on [the owner's] authority," supplies no higher figure. Plaintiff never identifies any provision of Penal Code § 396 under which $18,500 was lawful. Given this, the Three-Day Notice overstated the rent, and an overstated notice will not support an unlawful detainer. Also, with respect to Plaintiff's arguments concerning voidness, Defendants correctly point out that their defense is overstatement, not voidness.

Accordingly, Defendants' motion for summary judgment is GRANTED.